

# Principles of Management 2.0

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# Chapter 1 Introduction to Principles of Management



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- ❖ Learn who managers are and about the nature of their work
- ❖ Understand the importance of leadership, entrepreneurship, and strategy within organizations
- ❖ Know the dimensions of management articulated in the planning-organizing-leading-controlling (P-O-L-C) framework
- ❖ Learn how the concept of performance is used at the individual and group levels
- ❖ Create your survivor's guide to learning and developing principles of management

# What is management?



**...the art of  
getting things  
done through the  
efforts of other  
people.**

# What are the Principles of Management?



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the means by which  
you actually  
manage, that is, get  
things done through  
others—individually,  
in groups, or in  
organizations.

# Types of Managers

*Top managers* are responsible for developing the organization's strategy and acting as a steward for its vision and mission. Michael Dell showed this type of visionary leadership by founding Dell, Inc. after successfully selling computers out of his dorm room as a freshman student at the University of Texas.



*Functional managers* are responsible for the efficiency and effectiveness of a specific area such as accounting or marketing. Functional managers at marketing-intensive companies such as Kellogg's, General Mills, and Post must carefully manage many similar but competing brands. In fact, these individuals are typically called *brand managers*.

*Supervisory managers, or team managers*, are responsible for coordinating a subgroup with a particular function or a team composed of members from different parts of the organization. Hotel managers are responsible for all aspects of their hotel, from staffing and customer service to the flowers on display in the hotel lobby.







*Line managers*, often referred to as product or service managers, lead a team that contributes directly to the products or services the organization creates. Line managers often serve critical roles in keeping assembly line manufacturing on track to meet the organization's production goals as in the auto industry.

A *staff manager* leads a group that creates indirect inputs. Staff managers usually provide an advisory role. The White House chief of staff (an office held by Jacob Lew among others during the Obama administration) provides a high profile example of this important managerial type.



*Project managers* are responsible for the planning, execution, and completion of projects. Project managers are found in industries such as construction, architecture, consulting, computer networking, telecommunications, or software development. General contractors often serve as project managers in new housing construction.

*General managers* are responsible for managing a clearly identifiable, revenue-producing unit, such as a store, business unit, or product line. Michael Scott served as general manager of the Scranton branch of paper merchant Dunder-Mifflin in the first several seasons of the popular TV series *The Office*.

**DUNDER  
MIFFLIN, INC.**  
PAPER COMPANY

# Functions of Management by Henri Fayol

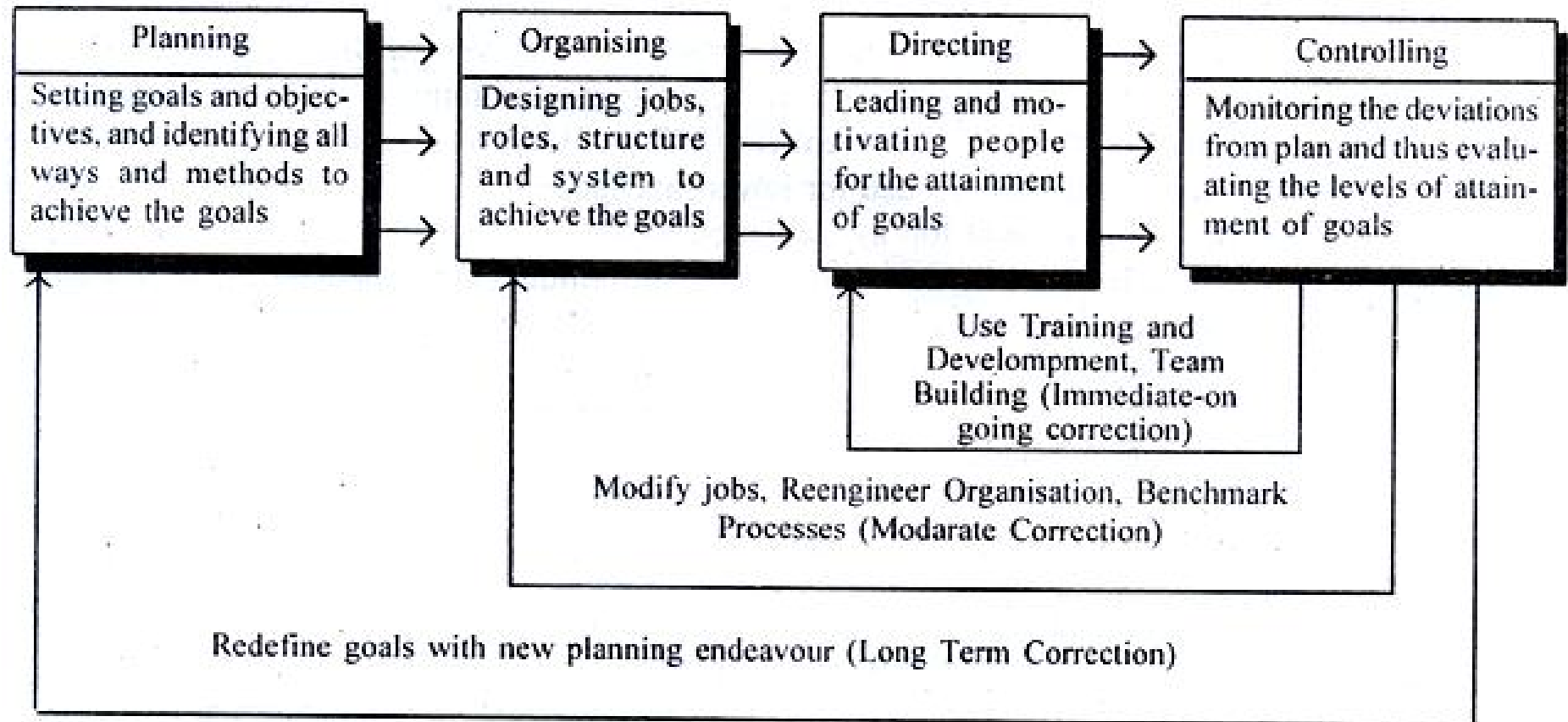
A General Theory of Business Administration

Administration Industrielle et Générale (1918) →

*General and Industrial Administration* (1949)

1. Planning
  2. Organizing
  3. Commanding (Directing)
  4. Coordinating
  5. Controlling
- 
- Leading**

# Integration and Feedbacks Among Business Functions



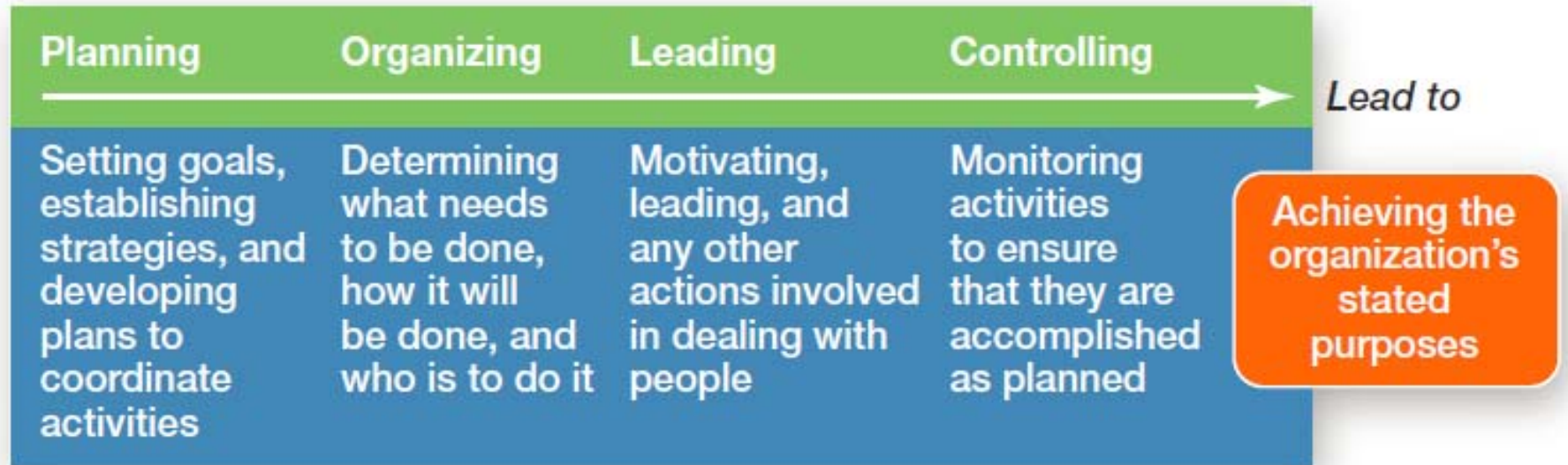


# Functions of Management

## The P-O-L-C Framework



# P-O-L-C Framework



Robbins and Coulter, *Management*, 11<sup>th</sup> ed.

| Planning                                                        | Organizing                                                 | Leading                                                                                      | Controlling                                          |
|-----------------------------------------------------------------|------------------------------------------------------------|----------------------------------------------------------------------------------------------|------------------------------------------------------|
| 1. Vision & Mission<br>2. Strategizing<br>3. Goals & Objectives | 1. Organization Design<br>2. Culture<br>3. Social Networks | 1. Leadership<br>2. Decision Making<br>3. Communications<br>4. Groups/Teams<br>5. Motivation | 1. Systems/Processes<br>2. Strategic Human Resources |

# Applying P-O-L-C Framework to Roman Empire



Planning involves setting objectives and determining a course of action for achieving those objectives. Hallmarks of planning in the Roman empire include impressive architectural feats like bridges, roads, aqueducts, baths, and other structures that multitudes of people visit to this day. The city grid used in modern-day city planning was popularized in Roman colonies.

Organizing is the management function that involves developing an organizational structure and allocating human resources to ensure the completion of objectives, often through the design of individual jobs within the organization. Organization in the Roman Empire is best illustrated through their military. The Roman military was composed of legions of about five thousand soldiers; these were then organized into smaller units (e.g., cohorts of about six centuries or a hundred men).







Leading involves social and informal sources of influence used to inspire others to take action utilizing knowledge of personalities, values, attitudes, and emotions. Leadership in the Roman Republic was headed by two consuls elected annually and advised by a senate. This system of checks and balances is often emulated in both governments and corporations today.

Controlling involves ensuring that managerial actions do not deviate from standards by creating processes and procedures that ensure consistent behavior. The establishment of Roman Law allowed for the peaceful control of citizens, conquered lands, and property rights in a manner that kept peace more efficiently than previous global powers.



# Discussion

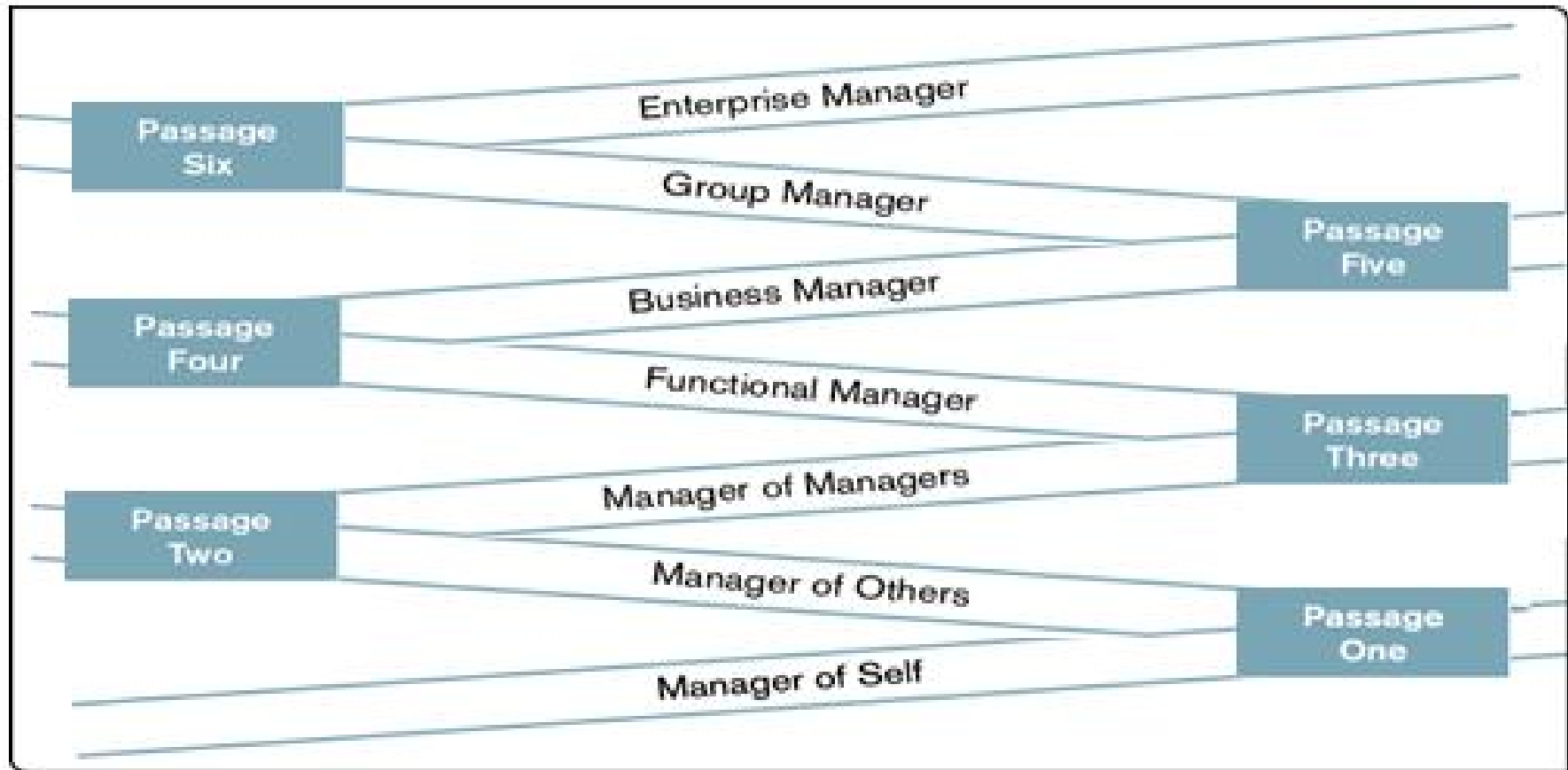
- What are the management functions that comprise the P-O-L-C framework?
- Alone or in a group, imagine that you are redesigning an organization to maximize its flexibility. How would you design the planning, organization, leadership, and control aspects of this organization?
- Now imagine that you are redesigning an organization to maximize its cost effectiveness. Which of the four P-O-L-C aspects would you most focus on and why?
- Finally, imagine you are hoping to create a highly creative organization to invent new products and processes. In this scenario, how would you emphasize each of the P-O-L-C aspects to best ensure you were creating an environment where ideas could thrive?



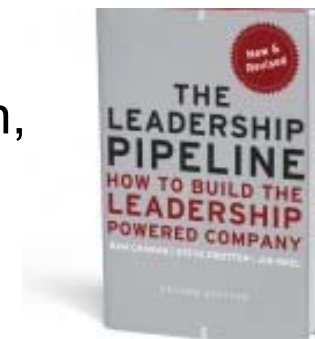
# Changing Roles of Managers



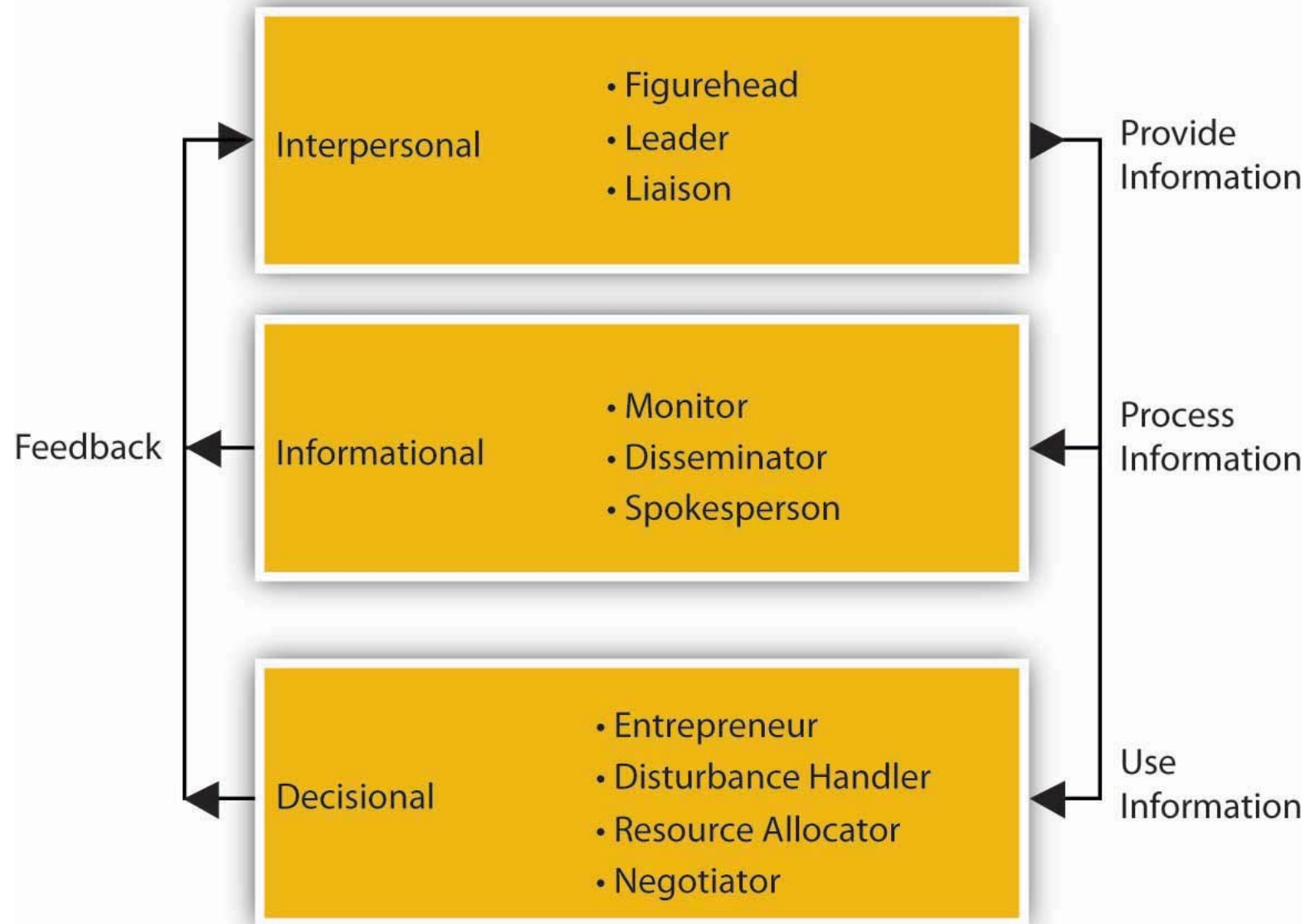
# The Leadership Pipeline



Source: *The Leadership Pipeline* by Ram Charan, Stephen Drotter and James Noel



# Ten Managerial Roles

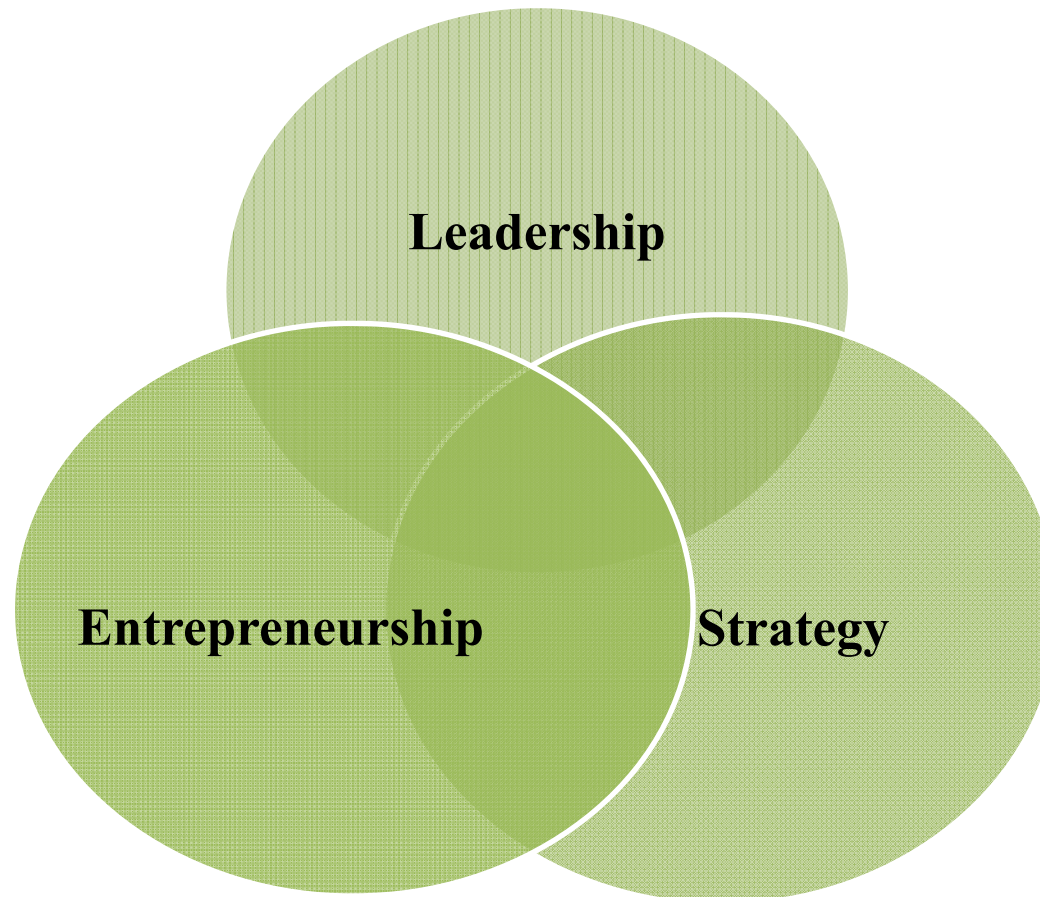


# Discussion

- Alone or in a group, think about the following questions: Why do organizations need managers? Can you imagine an organization with no managers? Does this seem better or worse than what you see there now in terms of organizational performance? What are some different types of managers and how do they differ?
- Alone or in a group, reflect on Mintzberg's 10 managerial roles. What are they? Which have you personally held? Which seem easier and which seem harder for individuals to do effectively? What are Mintzberg's 10 managerial roles ?
- Imagine you are designing a new restaurant or retail store. Now that you have the idea for your business in your mind, which managerial roles do you think you'll need? Who do you want to fill them? Are any of them unimportant, or are they all important at different times?
- What four general managerial functions are included in the principles of management? Think of an effective organization you know about in some depth as either an employee or a customer. Now, do you think they do a good job in all four of these managerial functions? Why or why not?

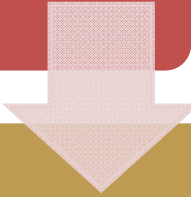


# Academic fields relevant to management



# ***Good management requires good leaders***

**Increasingly, we live in a world where *good management* requires *good leaders and leadership*.**

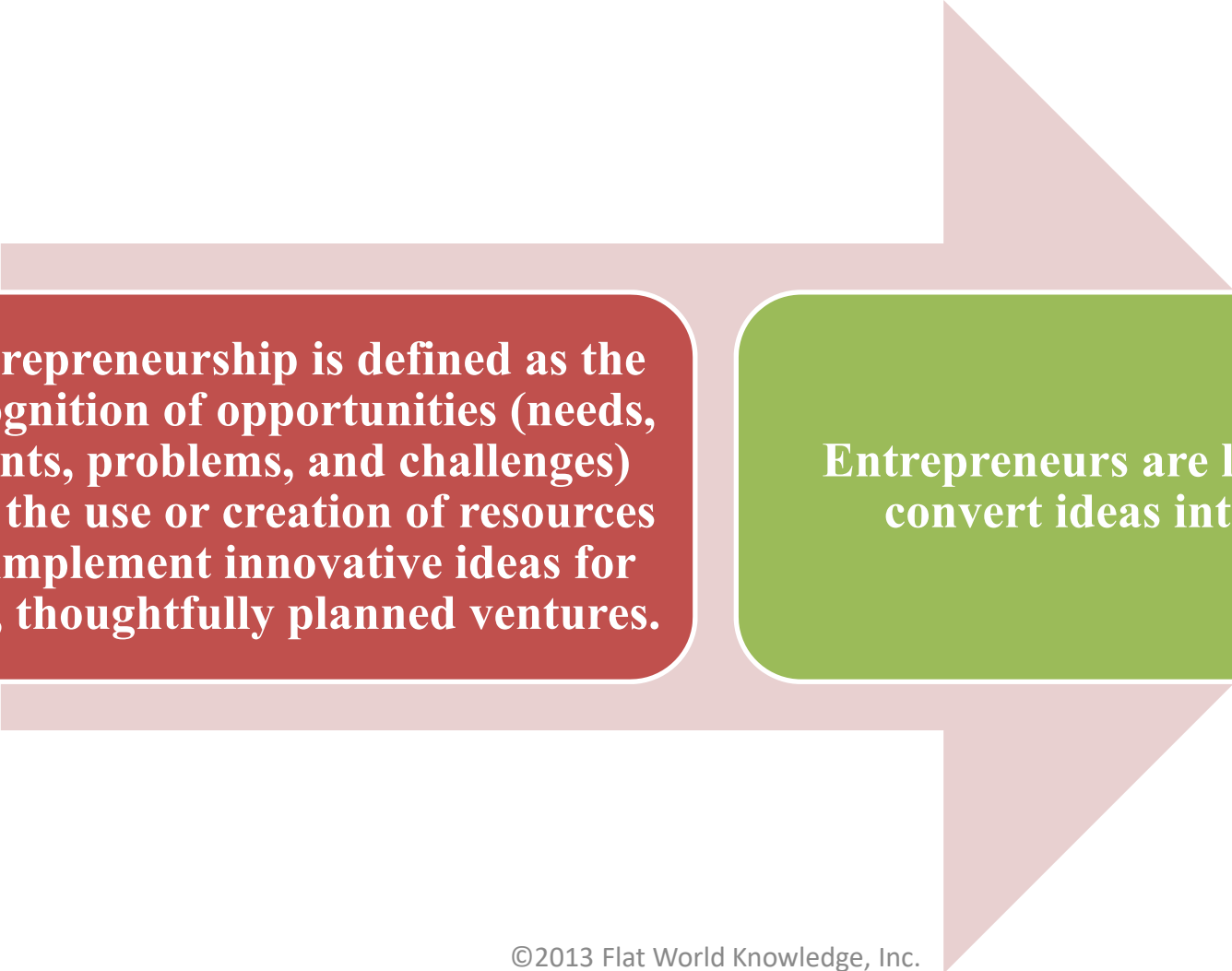


**Leadership involves actions taken to mobilize others to want to struggle toward a common goal.**



**Leadership also includes an understanding of when, where, and how to use more formal sources of authority and power, such as position or ownership.**

# Entrepreneurs must be effective leaders



**Entrepreneurship is defined as the recognition of opportunities (needs, wants, problems, and challenges) and the use or creation of resources to implement innovative ideas for new, thoughtfully planned ventures.**

**Entrepreneurs are leaders who convert ideas into action.**

## Strategy

- **the central, integrated, externally-oriented concept of how an organization will achieve its objectives.**

## Strategic management

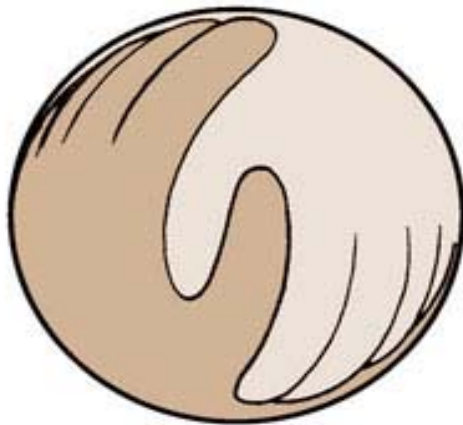
- **the body of knowledge that answers questions about the development and implementation of good strategies.**

# Discussion

- Alone or in a group, think about leadership beyond what you've read in this chapter. How do you define leadership, and who would you identify as a great leader? How much does your personal experience help shape your responses to this question?
- Have you ever had an idea for a new product or service? If so, did you pursue it? Why or why not? Now that you've read this section, what is entrepreneurship and how is it similar to or different from the idea of it you held before this course?
- Now that you've read this section, what is strategy and how is it similar to or different from the idea of it you held before this course?
- Address the following alone or in a group. What roles do leadership, entrepreneurship, and strategy play in good principles of management? Can you be an effective organization by employing strong leadership, entrepreneurship, or strategy? Explain your answer.



# The Triple Bottom Line



Social

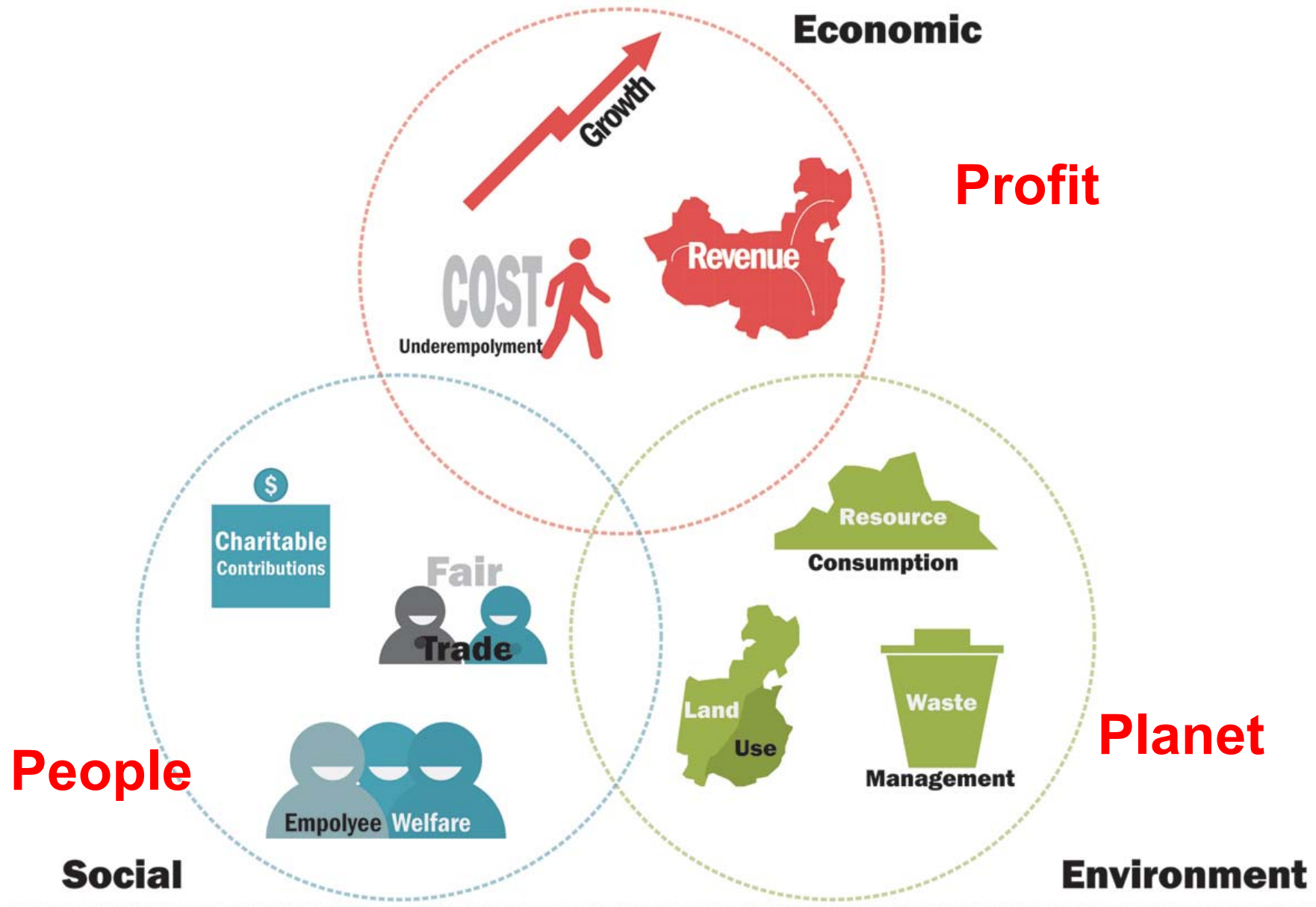


Environmental



Economic

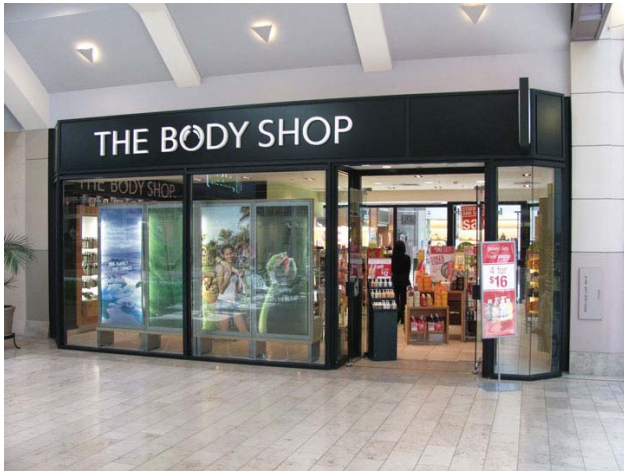
# The Triple Bottom Line (3Ps)



# The Importance of Economic Performance

**Economic performance of a firm is a function of its success in producing benefits for its owners in particular, accomplished through product innovation and the efficient use of resources to produce some form of profit.**

# Social and Environmental Performance



**Corporate social responsibility (CSR) is a concept whereby organizations consider the interests of society by taking responsibility for the impact of their activities on customers, suppliers, employees, shareholders, communities, and the environment in all aspects of their operations. The Body Shop and TOMS shoes are examples of organizations with strong CSR.**

Sources:

[http://en.wikipedia.org/wiki/File:The\\_Body\\_Shop\\_in\\_the\\_Prudential\\_Center,\\_Boston\\_MA.jpg](http://en.wikipedia.org/wiki/File:The_Body_Shop_in_the_Prudential_Center,_Boston_MA.jpg);  
<http://www.flickr.com/photos/ohnodoom/5202639102>



# More Examples of Leading Firms with Strong CSR Orientations



"We've taken time each year since 1989 to compile this [Social Audit] report because we continue to believe that it keeps us in touch with our Company's stated Social Mission. By raising the profile of social and environmental matters inside the Company and recording the impact of our work on the community, this report aids us in our search for business decisions that support all three parts of our Company Mission Statement: Economic, Product, and Social. In addition, the report is an important source of information about the Company for students, journalists, prospective employees, and other interested observers. In this way, it helps us in our quest to keep our values, our actions, and public perceptions in alignment."



"It's nice to live next door to a family that cares about its neighbors, and at S. C. Johnson we are committed to being a good neighbor and contributing to the well-being of the countries and the communities where we conduct business. We have a wide variety of efforts to drive global development and growth that benefit the people around us and the planet we all share. From exceptional philanthropy and volunteerism to new business models that bring economic growth to the world's poorest communities, we're helping to create stronger communities for families around the globe."



"Community giving is and always has been a cornerstone of our company. Since 1946, Target has given 5 percent of our income—which today equals more than \$3 million a week—to our communities. We also invest in the career development and well-being of our 355,000 team members worldwide, knowing that their diverse perspectives, talent, and commitment enhance our company and our communities. And we engage with a broad range of public and private partners to make our communities strong, healthy, and safe. Working side by side with those around us and sharing Target's expertise with local partners, we help drive results that benefit all."



# Discussion

- Why is financial performance important for organizations?
- What are some examples of financial performance metrics?
- What dimensions of performance beyond financial are included in the triple bottom line?
- How does corporate social responsibility (CSR) relate to the triple bottom line?
- How are financial performance and CSR related?

## Individual-Level Performance

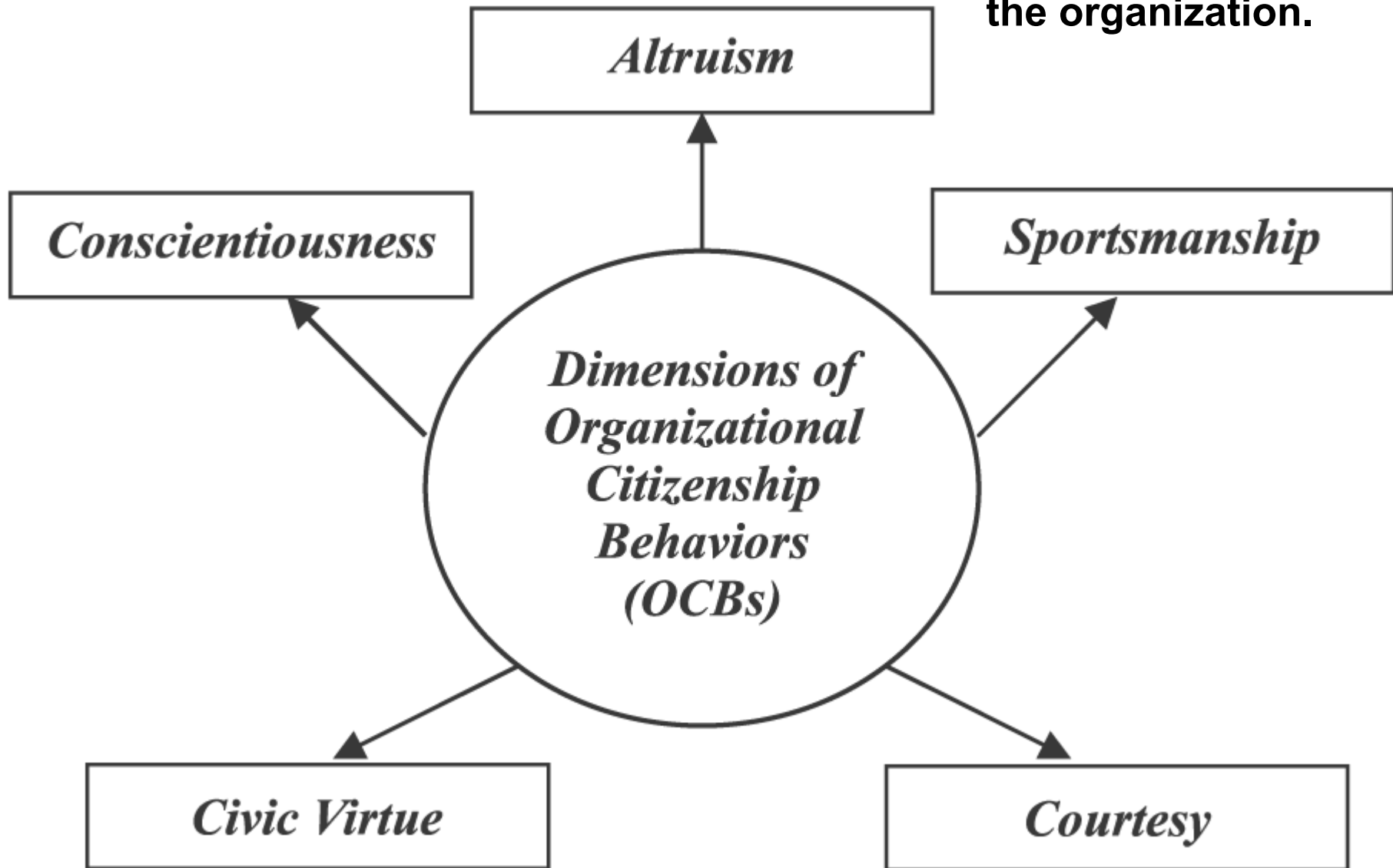
- **Individuals are recruited, selected, and hired to take responsibility for fulfilling the job description**
- **Additional “extras” that add value but which aren't part of the formal job description**
  - **Organizational Citizenship Behaviors (OCBs)**

**In-Role Performance**

**Extra-Role Performance**

# OCBs

Voluntary behaviors employees perform to help others and benefit the organization.



# OCBs

*Altruism* is a helping behavior that refers to voluntary actions that help others with work problems such as instructing new hires how to use equipment or helping coworkers catch up with work backlogs.

*Interpersonal helping* is a helping behavior that focuses on assisting coworkers in their jobs when such support is needed.

*Courtesy* is a helping behavior that includes gestures that facilitate the prevention of problems such as touching base with someone before committing to actions that will affect them or providing advance notice to someone in regards to scheduling.

*Peacemaking* is a helping behavior that refers to actions that help prevent, resolve, or mitigate unconstructive interpersonal conflict.

*Cheerleading* is a helping behavior that refers to the use of encouraging and reinforcing words and gestures with coworkers.

*Sportsmanship* is a citizen-like posture of tolerating the inevitable inconveniences and impositions of work without whining or grievance.





*Organizational loyalty* refers to identification with and allegiance to organizational leaders and the organization as a whole, transcending the parochial interests of individuals, work groups, and departments.

*Representative behaviors* include defending the organization against threats, contributing to its good reputation, and cooperating with others to serve the interests of the whole.

*Organizational compliance (or obedience)* refers to an orientation toward organizational structure, job descriptions, and personnel policies that recognizes and accepts the necessity and desirability of a rational structure of rules and regulations. Obedience may be demonstrated by a respect for rules and instructions, punctuality in attendance and task completion, and stewardship of organizational resources.

*Individual initiative (or conscientiousness)* involves a pattern of going beyond minimally required levels of attendance, punctuality, housekeeping, conserving resources, and related matters of internal maintenance.

*Civic virtue* involves responsible, constructive involvement in the political process of the organization, including not just expressing opinions, but reading one's mail, attending meetings, and keeping abreast of larger issues involving the organization.

*Self-development* includes all the steps that workers take to voluntarily improve their knowledge, skills, and abilities so they are better able to contribute to their organizations. Examples include seeking out and taking advantage of advanced training courses, keeping abreast of the latest developments in one's field, or even learning a new set of skills to expand the range of one's contributions to an organization.



# Group-Level Performance



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- Focuses on both the outcomes and process of collections of individuals or groups
- In some cases, individuals can work on their own agendas in the context of a group

# Group versus Team?

## Group

- Collection of individuals
- The performance of a group consists of the inputs of the group minus any process loss that result in the final output

## Team

- Small number of people with complementary skills who are committed to a common purpose, performance goals, and approach for which they are mutually accountable.

# Discussion

- What is in-role performance? In your opinion, what can managers do to increase in-role performance of employees?
- If extra-role performance is not directly recognized by reward systems, what motivates employees to display these behaviors?
- Can you think of any situations in which in-role and extra-role performance may not be beneficial for the work group or the organization? Provide examples.
- What differentiates a team from a group? Is this distinction an important one?
- Consider the definitions of different types of citizenship behaviors. Who are the targets or beneficiaries of these behaviors? Do you feel that behaviors with different beneficiaries may have different causes? Why or why not?

# What is your learning style?

The learning style of individuals has numerous implications for how to best manage the learning experience. We provide some learning recommendations for each style below.

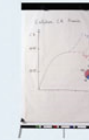
Effective techniques for *visual learners* (individuals who acquire knowledge through images, pictures, colors or other graphic presentations of material.)



Draw pictures and diagrams



Take careful notes during class



Summarize key points using charts

Effective techniques for *auditory learners* (individuals who acquire knowledge through listening.)



Join study groups so you can discuss your questions and ideas and hear responses



Write down any oral instructions right away



Consider taping lectures

Effective techniques for *kinesthetic learners* (individuals who acquire knowledge through application.)



Schedule your homework and study sessions so you can take breaks



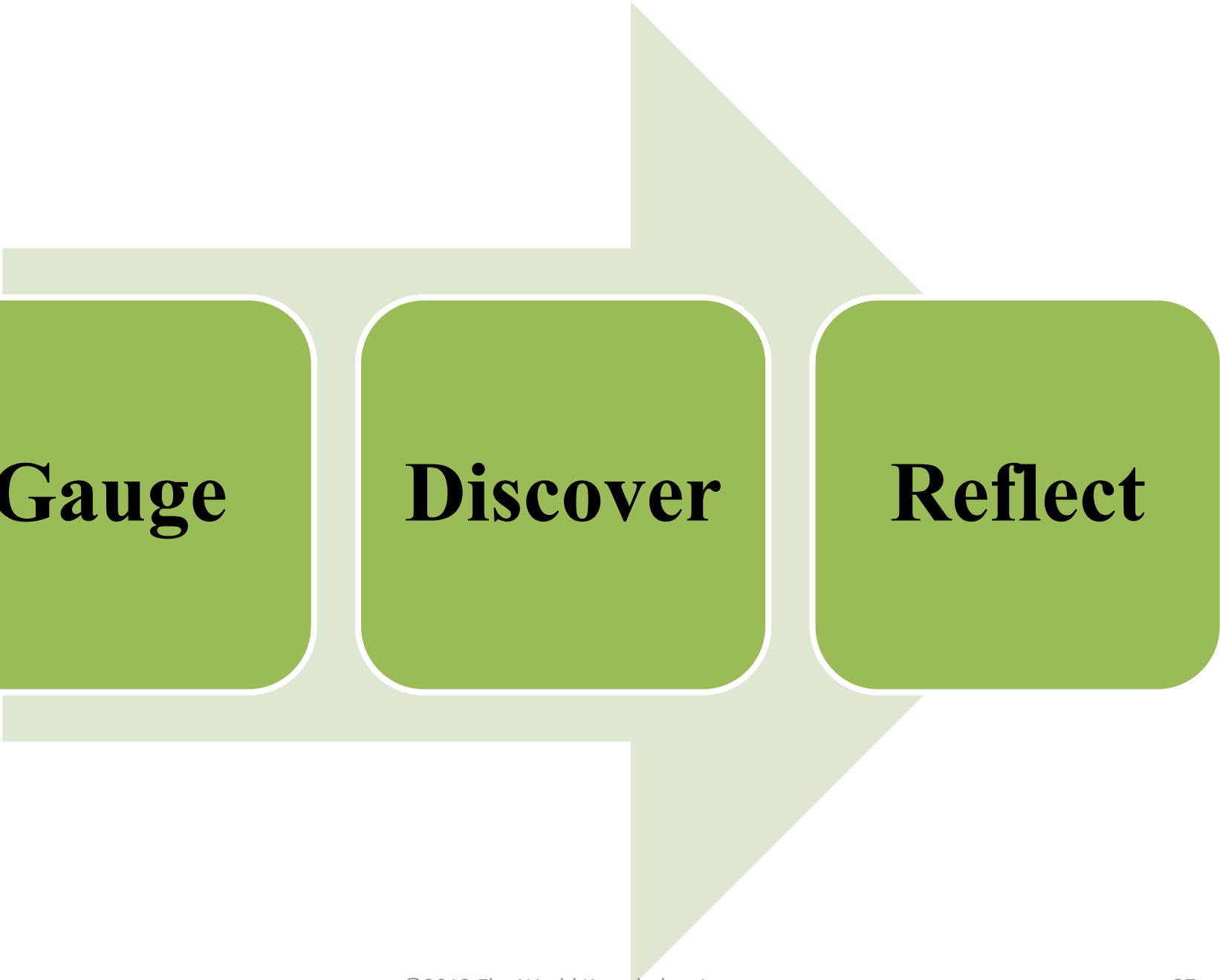
Take good notes during class



Avoid scheduling long classes that require too much sitting and listening when possible to avoid boredom

For various reasons, using flash cards seems to help with all three learning styles. For example, for an auditory learner, saying the answers aloud when using flash cards helps to solidify concepts. For a visual learner, seeing the answers written down on the flash card can be helpful. And for the kinesthetic learner, the act of creating and organizing flash cards helps the concepts stick.





**Gauge**

**Discover**

**Reflect**



# Discussion

- What is your learning style?
- Were you surprised by your learning style?
- What target learning issue could you use to experiment with the gauge-discover-reflect framework?